big smart cities

PROJECT NAME	TEAM
NESTO	2

YOU'RE GETTING CLOSER... ALMOST THERE... THERE YOU ARE!

STARTING POINT // PITCH	PITCH #1	PITCH #2	PITCH #3
Optimising Bottled LPG Chain Value			

VALUE PROPOSITION CANVAS

PRODUCTS AND SERVICES

Product:
- A battery powered smart weight scale with an IoT module;

Services:
- An app for LPG distributors;
- An app for end consumers;
- A back-end that deal with prediction, optimisation and dispatch;

GAIN CREATORS

Describe how your products and services create customer gains.
How do they create benefits your customer expects, desires or would be surprised by?

For distributors:
- Improve delivery experience (think Uber for LPG);
- Improve competitiveness;

For end-users & challengers:
- Access to better prices without having to go after them;
- Promote market competition (unbalance the status quo);

PAIN RELIEVERS

Describe how your products and services alleviate customer pains.
How do they eliminate or reduce negative emotions, undesired costs and situations, and risks your customer experiences or could experience before, during, and after?

For distributors:
- Offering the best possible delivery schema at every moment;
- Reducing gas bottle inventory;

For end-users:
- No more gas ending in the middle of the shower;
- No need to have more than one gas bottle at once;

EMPATHY MAP

THINK

End-users:
- I wish I have the same service for milk!
- I wish the distributor was like the Pluma girl... :)

FEEL

End-users:
They feel empowered and have better control on their gas consumption

Distributors:
They feel more efficient
They're happier and value NESTO services

SAY

End-users:
"I'm in control of my GPL consumption"
"I'm always getting the best deal at the time I need it"

Distributors:
"With NESTO, I'm selling 20% more with the same resources"
"Average delivery time was drastically reduced since my customers know in advance when I'm going to arrive"
"Why this wasn't invented yesterday?"

DO

End-users:
- They only buy 1 gas bottle at a time

Distributors:
- They cut extra-hours to fulfil orders during cold season

Secret Weapon : Could probably get an introduction to access top investors (Andreessen Horowitz) from Jon Hirschtick & John McEleney (Onshape & Solidworks founders).

LEAN CANVAS

PROBLEM
Top 3 problems.

LPG business model has been mainly unchanged for the last 50 years!

Delivery schemes aren't optimal:
- Fragmented among the competition
- Not aggregated in time nor in space
- Reactive (based on customer request)

New legislation is trying to correct some wrongs but is facing serious practical challenges and lobbying.

SOLUTION
Top 3 features.

- A battery powered smart weight scale with an IoT module
- An app for LPG distributors
- An app for end consumers
- A back-end

KEY METRICS
Key activities you measure.

- NESTO penetration in market
- NESTO adoption rate
- NESTO revenue in fee
- Nb of distributors signed

UNIQUE VALUE PROPOSITION
Single, clear, compelling message that states why you are different and worth paying attention.

Giving domestic bottled gas consumers the best possible price with top notch user experience and the convenience of doorstep delivery. Not enough? It's free...

UNFAIR ADVANTAGE
Can't be easily copied or bought.

- First mover advantage
- Brand agnostic
- Backed by the main shareholder of the IoT technology it uses (ideally)

CHANNELS
Path to customers.

- Outsiders & aggressive players for LPG market
- Partnership with retail

CUSTOMER SEGMENTS
Target customers.

- Domestic vs Profissional LPG market;
- Urban vs Rural;
- Branded vs non-branded;
- Heavy consumers vs light consumers;

COST STRUCTURE
Customer Acquisition Costs
Distribution Cost
Hosting
People, etc.

Customer acquisition cosy may depend on policy for aggressive brand to conquer new market share.
Hosting / Routing can be sub-contracted in a first phase where the idea is validate the hardware. Once enough bases are installed to make the system relevant, the optimisation algorithm & software can be developed in-house.
All should be cloud based to keep initial investment low.
Services like "twilio" and "api.ai" can also help to keep head count to an acceptable level (for the planning of delivery with older people not at ease with technology - maybe).

REVENUE STREAMS
Revenue Model
Life Time Value
Revenue
Gross Margin

Hardware price (~40€) paid by the brand that wants to win market share. During this time, a fee is due to access the data. After x months, the base is going back to the pool where the information can be accessed by any brand with limited visibility (only providing a GPS position). For paying distributers, they'll have optimised information provided to guarantee lower cost of delivery.

PRODUCT MARKET

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VALIDATION BOARD	ITERATION #1	ITERATION #2	ITERATION #3
CUSTOMER HYPOTHESIS A brand would pay 80€ + 12€ / month to win a new customer?	CUSTOMER HYPOTHESIS	CUSTOMER HYPOTHESIS	CUSTOMER HYPOTHESIS
PROBLEM HYPOTHESIS	PROBLEM HYPOTHESIS	PROBLEM HYPOTHESIS	PROBLEM HYPOTHESIS
SOLUTION HYPOTHESIS	SOLUTION HYPOTHESIS	SOLUTION HYPOTHESIS	SOLUTION HYPOTHESIS